

responsible. In the weeks that immediately followed, demand for a wide range of consumers' goods weakened, business confidence was shaken, and, as a direct manifestation, business investment fell and business failures rose. Economists, as I have noted, then as later sought to exculpate the market, holding deeper factors, including now insufficiently relaxed Federal Reserve policy, responsible for the business decline. This was evasion bordering on nonsense. In fact, the market crash broke into an exceptionally fragile financial, banking, and general economic structure. There can be no plausible doubt that it had a substantial and ultimately devastating economic effect.

By the mid-1950s, however, Americans were ceasing to regard the stock market with the misgiving—the sense that it was somehow designed for their expropriation—that was the attitude in the aftermath of the 1929 crash. In 1954 and 1955, a quarter of a century after the terrible October days, there was a modest boom.

Later in that decade and throughout the 1960s, there were further speculative upsurges and ensuing breaks. These were years of good, frequently brilliant, performance by the American and other industrial economies—low unemployment, steady and ample economic growth, and low rates of inflation. Reflecting the accompanying optimism, youthful market operators, notably the Go-Go boys of the 1960s, were believed by others and, as ever, by themselves to have a new and highly innovative approach to investment opportunities. Relatively mild setbacks from time to time, principally in 1962 and 1969, at least partially corrected this error.

The most notable manifestation of the new speculative mood, while under markedly American auspices, was to occur in Switzerland, with an outreach over Europe and down into South America.